QUANTIUM

Chips Category Strategy Report

Data-Driven Insights & Recommendations for H2 Planning

Prepared for: Julia, **Product** Manager

Period: July 2018 – June 2019 | Trial: Feb–Apr 2019

Framework: Pyramid Principles – Insight → Evidence → Recommendation

264,836
Transactions

72,637
Customers

272
Stores

EXECUTIVE SUMMARY

PYRAMID TOP

The chips category is healthy and growing. Two of three trial stores achieved statistically significant sales uplifts. Mainstream Singles/Couples drive 44% of revenue, and Kettle is the undisputed category leader. Immediate rollout of the trial format to similar stores is recommended.

$156,462

Peak Month Sales

December 2018

Mainstream

#1 Customer Segment

44.9% of sales

Kettle

Top Brand

Highest total revenue

2 / 3

Trial Success Rate

Stores 77 & 88 uplift

Data covers July 2018 – June 2019 | Source: Quantium QVI Transaction & Purchase Behaviour Data

AGENDA

01 **Sales Performance & Trends**
Monthly sales, seasonality, peak periods and key drivers.

02 **Brand & Product Analysis**
Top brands, pack sizes, revenue contribution and SKU insights.

03 **Customer Segmentation**
Tier, age group, family stage analysis and heatmap insights.

04 **RFM Customer Intelligence**
Recency, frequency, monetary scoring and segment profiles.

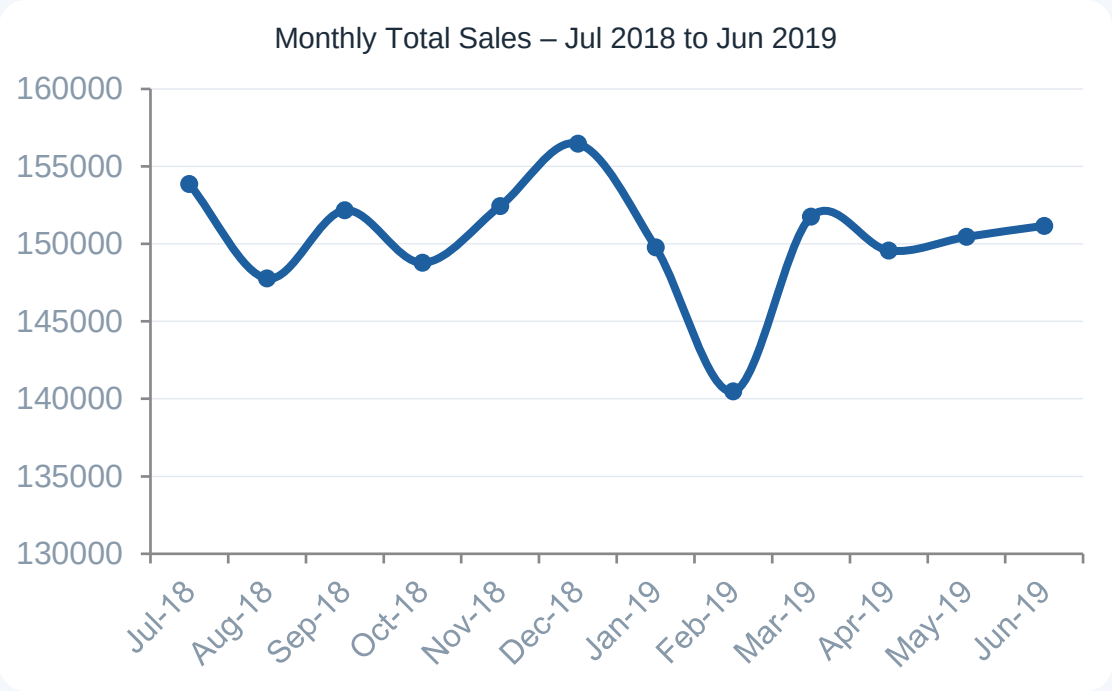
05 **Brand Affinity Deep-Dive**
Mainstream Standard segment brand and size preferences.

06 **Trial Store Evaluation**
Control store matching, uplift testing and trial verdicts.

07 **Strategic Recommendations**
Pyramid-structured actions for H2 planning.

SALES PERFORMANCE & TRENDS

TASK 1 · FINDING



PEAK MONTH

Dec 2018

$156,462

TROUGH MONTH

Feb 2019

$140,480

YOY SWING

~$16,000

±11% range

SEASONALITY

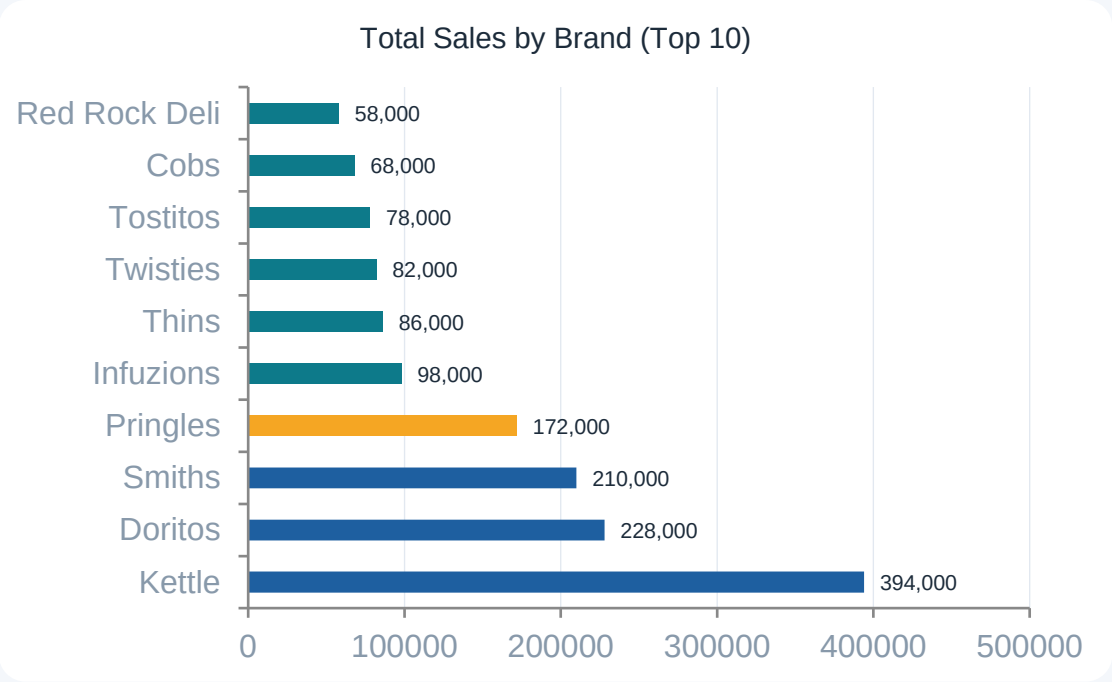
Festive Spike

Dec ▲ | Feb ▼

💡 Insight: Chips are a year-round staple with a clear festive uplift in December. Stock and promotional activities should intensify ahead of December and sustain through the year to support stable baseline demand.

BRAND & PRODUCT ANALYSIS

TASK 1 · FINDING



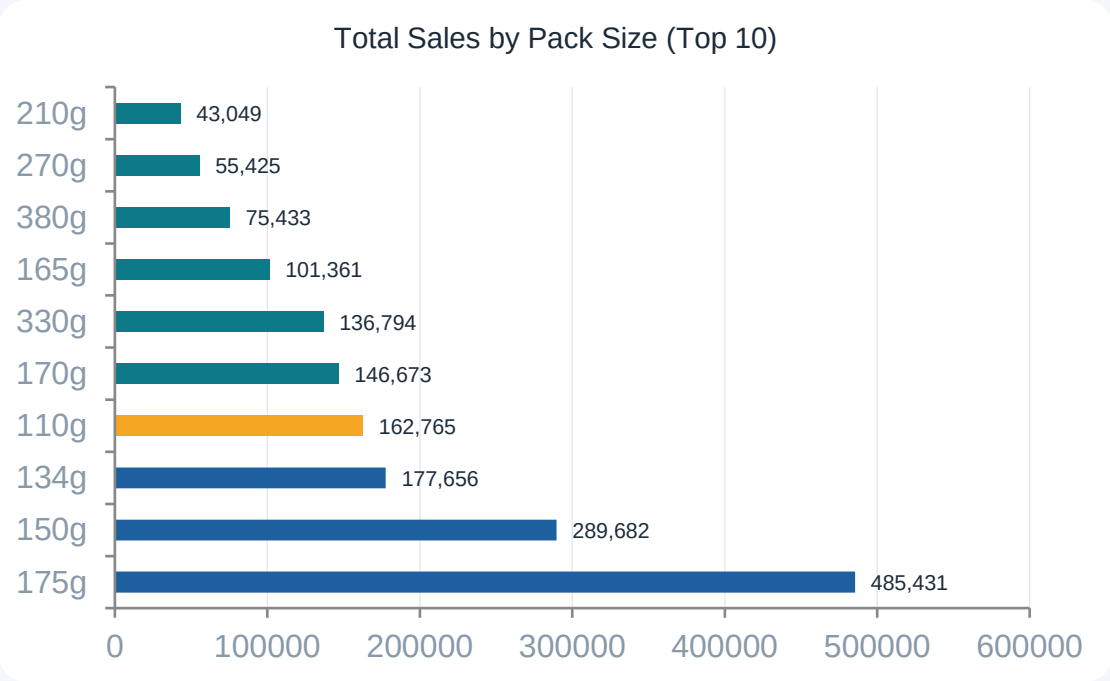
TOP REVENUE SKUs

1. **Doritos Corn Chip Supreme 380g**
   $39,065 | 2.16% of sales
2. **Smiths CrinkleChip Orig. 380g**
   $36,368 | 2.01% of sales
3. **Smiths Crinkle Chips Salt 330g**
   $34,804 | 1.93% of sales
4. **Kettle Mozzarella Basil 175g**
   $34,457 | 1.91% of sales

💡 Insight: Kettle dominates with strong premium positioning. Doritos and Smiths drive volume through large-format SKUs. Shelf space and promo investment should weight toward these three primary revenue generators.

PACK SIZE ANALYSIS

TASK 1 · FINDING



PRICE EFFICIENCY BY SIZE

Size	Revenue	$/unit	$/g
175g	$485K	$3.84	$0.022
150g	$290K	$3.78	$0.025
380g	$75K	$6.14	$0.016
110g	$163K	$3.80	$0.035

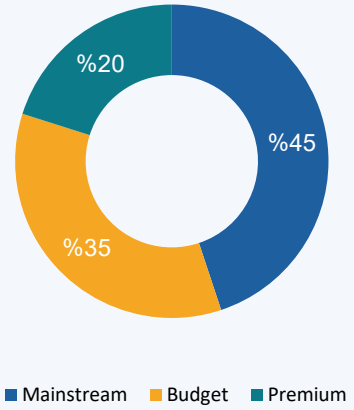
175g is the #1 SKU by both volume and revenue — the cornerstone pack for range planning.

💡 Insight: The 150g–175g range offers the best balance of consumer value perception and retailer revenue. Larger formats (330g, 380g) command premium per-unit prices and suit the Mainstream Standard segment.

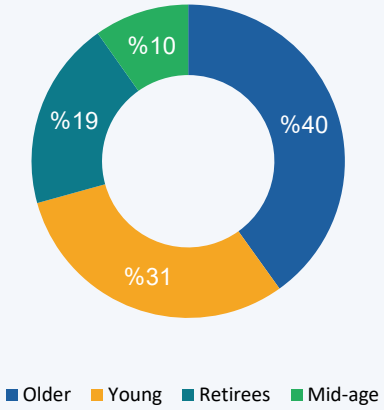
CUSTOMER SEGMENTATION

TASK 1 · FINDING

By Customer Tier



By Age Group



KEY INSIGHTS

44.9%
Mainstream share of total sales

43.9%
Sales from 'No Family' singles/couples

40.1%
Sales from Older Singles/Couples

19.5%
Retirees contribute — stable base

💡 Insight: Mainstream customers are the volume engine. Older and Young Singles/Couples together drive over 70% of age-group sales. Budget customers remain a meaningful secondary tier and should not be overlooked.

SALES HEATMAP — AGE GROUP × CUSTOMER TIER

TASK 1 · DEEP DIVE

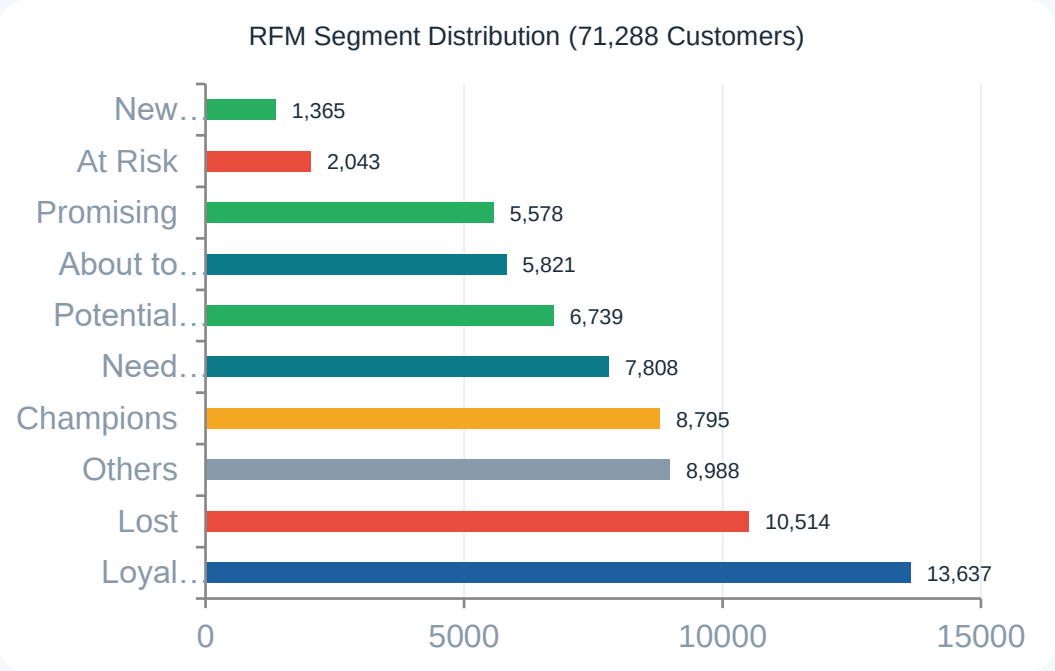
Age Group	Budget	Mainstream	Premium	ROW TOTAL
Older S/C	$284,697	$221,062	$198,787	**$704,546**
Young S/C	$186,840	$233,920	$117,624	**$538,384**
Retirees	$105,916	$145,169	$91,297	**$342,382**
Mid-age S/C	$33,346	$84,734	$54,444	**$172,524**
COL TOTAL	**$610,799**	**$684,885**	**$462,152**	**$1,757,836**

Darker blue = higher sales value

💡 Insight: Older Mainstream customers are the highest-value cell ($221K). Young Mainstream follows ($234K). Budget Older is surprisingly large ($285K) — these are frequent, value-conscious repeat buyers.

RFM CUSTOMER INTELLIGENCE

TASK 1 · DEEP DIVE



SEGMENT ACTION PLAN

Champions (8,795)

VIP exclusives, early access, loyalty perks

Loyal Customers (13,637)

Retain via loyalty programs & rewards

Lost (10,514)

Win-back: personalized discount campaigns

Need Attention (7,808)

Re-engagement: time-limited offers

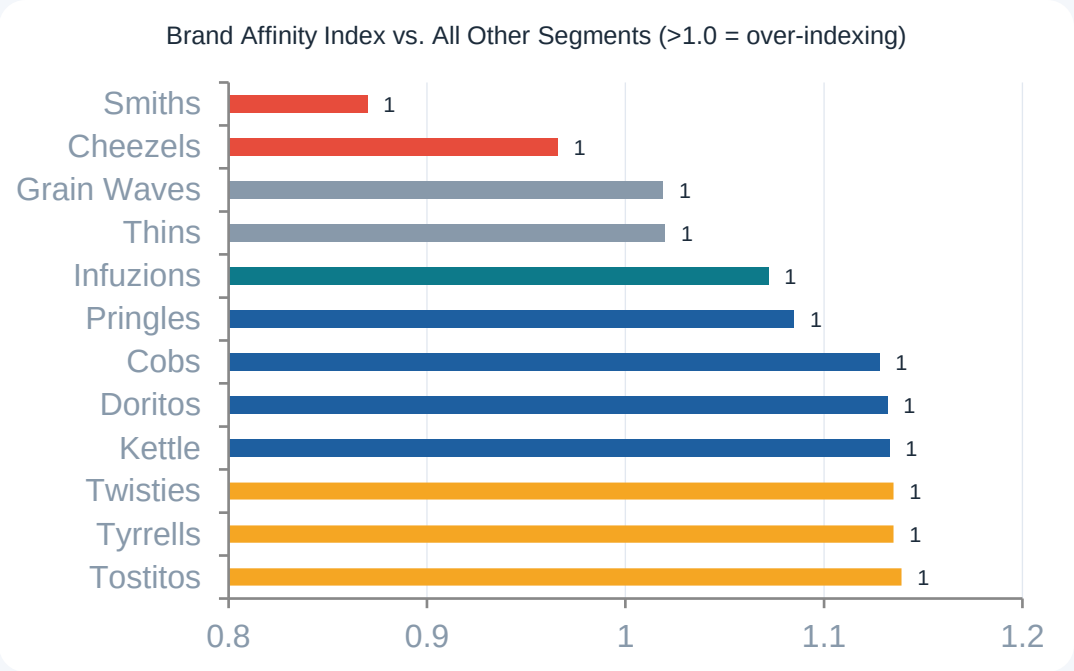
New Customers (1,365)

Onboarding journey → nurture to loyalty

💡 Insight: Champions + Loyal Customers = 22,432 customers → core revenue base. Lost segment (10,514) = major reactivation opportunity with high ROI potential. Average customer spends $25.30 across the period.

BRAND AFFINITY — MAINSTREAM STANDARD SEGMENT

TASK 1 · DEEP DIVE



SIZE AFFINITY – TOP 5 SIZES

135g	1.21x	21% more likely to buy
270g	1.17x	Value/share packs
380g	1.16x	Large format preference
110g	1.13x	Convenient size
330g	1.12x	Multi-use occasions

💡 Insight: Mainstream Standard customers over-index on Tostitos, Tyrrells, Twisties, and Kettle. They prefer larger and value packs (135g–380g). Promotions on these brands and formats will resonate most with the core target.

PART 2

Trial Store Experimentation & Uplift Testing

February – April 2019 | Stores 77, 86, 88

Methodology: Pyramid Principles | Pearson Correlation + Magnitude Distance Scoring

CONTROL STORE SELECTION METHODOLOGY

TASK 2 · METHOD

📈 Pearson Correlation

Measures whether two stores move in the same direction over time. Score near 1.0 = identical seasonal & trend patterns, regardless of absolute size differences.

📏 Magnitude Distance Score

Normalises the absolute monthly difference between stores on a 0–1 scale. Rewards stores that are numerically close in addition to trending similarly.

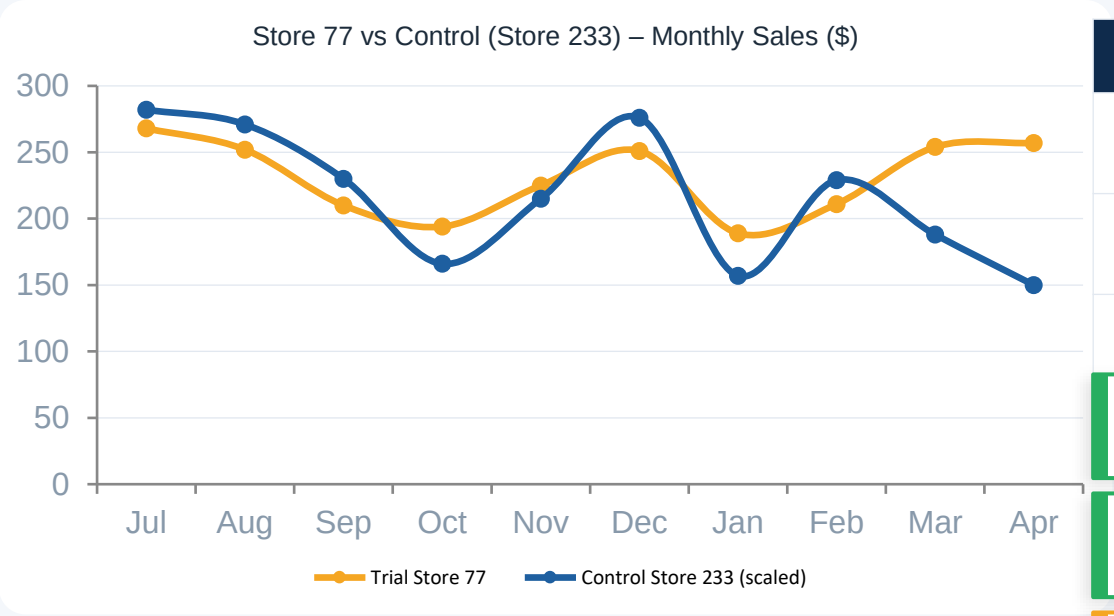
Final Score = 50% Sales Similarity + 50% Customer Count Similarity | Each component = 50% Correlation + 50% Magnitude

Trial Store	Control Store	Similarity Score	Match Quality
Store 77	Store 233	**0.978**	**Exceptional**
Store 86	Store 231	**0.722**	**Good**
Store 88	Store 237	**0.970**	**Exceptional**

💡 Stores 233 and 237 are near-perfect matches for their trial counterparts. Store 231 is the best available for Store 86, but the lower score warrants additional qualitative review of Store 86's results.

TRIAL ASSESSMENT — STATISTICAL RESULTS

TASK 2 · RESULTS



Store	Control	Feb t-val	Mar t-val	Apr t-val	Verdict
77	233	-0.64	2.95 ✓	5.93 ✓✓	✅ SUCCESSFUL
86	231	0.02	0.23	0.92	⚠️ INCONCLUSIVE
88	237	0.39	3.38 ✓	2.00 ✓	✅ SUCCESSFUL

t > 2.0 = statistically significant at 95% confidence

Store 77

+72.1% uplift | April vs Control

Store 88

+25.7% uplift | March vs Control

Store 86

+4.9% uplift | April — not sig.

Shaded green region = Trial Period (Feb–Apr 2019)

💡 Insight: Stores 77 and 88 demonstrate progressive, compounding uplift during the trial — indicating growing customer response. Store 86 warrants a qualitative investigation before drawing conclusions about the trial format.

STRATEGIC RECOMMENDATIONS

PYRAMID BOTTOM

1 Roll out trial format to similar stores

HIGH

Stores 77 & 88 demonstrate significant, growing uplift. Use the control-matching function to identify next-wave stores by similarity score.

2 Focus marketing on Mainstream Standard segment

HIGH

44.9% of sales. Prioritize Tostitos, Tyrrells, Twisties & Kettle in shelf placement, digital ads, and in-store promotions for this segment.

3 Promote 175g & 380g pack sizes

HIGH

175g is the #1 revenue SKU. Mainstream Standard shows 16–21% higher affinity for large formats — ideal for value-promo bundles.

4 Reactivate 'Lost' customers (10,514)

MED

Design personalized discount campaigns based on historical purchase behavior. Even 10% recovery = $1M+ revenue potential.

5 Investigate Store 86 qualitatively

MED

No significant uplift detected. Root-cause analysis: implementation consistency, local competition, or demographic mismatch.

6 Capitalize on December seasonality

LOW

Plan 6 weeks ahead. Build promotional bundles, increase stock of Kettle/Doritos large formats and seasonal gifting SKUs.

NEXT STEPS

Recommended Actions for Q3 2019

Q3 Immediate	Use control-matching model to shortlist 15–20 next-wave trial stores.
Q3 Month 1	Launch reactivation campaign for 10,514 Lost RFM customers.
Q3 Month 2	Increase 175g & 380g shelf facings for top 20 stores by revenue.
By Oct	Finalize December promotional bundles — Kettle, Doritos, Smiths.
Ongoing	Monthly RFM refresh: monitor Champions → Loyal conversion rates.

Thank you — Quantium Analytics Team